Responsible Contractor Policy

I. PURPOSE

This Responsible Contractor Policy (the "Policy") of the Jadian Real Estate Fund II (the "Fund") is designed to guide, in a manner consistent with the Fund's fiduciary responsibility in managing its investments (consistent with the LPA (as defined below)), the selection of independent contractors, including all operating company managers, and their subcontractors (collectively the "contractors") who provide construction, repair, maintenance and real estate operating services (each individually a "Service") to assets and companies (collectively "operating companies") in which the Fund invests. The Policy seeks to ensure that the selection process for independent contractors will include among other things, a demonstrated ability to provide reliable and high quality Services which may be evidenced by their compliance with applicable statutes and payment of fair compensation and benefits to employees, as well as by their relevant experience, reputation, dependability, and ability to provide cost-efficient services.

II. INTRODUCTION

The Fund supports a safe and healthy and profitable business environment through selective negotiation, market competition, small business development, and control of operating costs. The Fund also supports and encourages fair compensation and fair benefits for workers employed by contractors to the extent possible, and in a manner consistent with the duties of the Fund manager with respect to the Fund as set forth in the Fund Limited Partnership Agreement (as amended, supplemented, and or restated from time to time, and together with the other governing agreements of the Fund, the "LPA").

In keeping with these overriding objectives, the Fund has adopted the Policy described herein in order to support and promote the engagement of independent contractors who can be expected to provide both competitive and high quality Services to Fund investments, utilizing appropriately trained and fairly compensated employees, subject to its duties as set forth in the LPA. The Fund believes that the utilization of such contractors adds value to its investments by ensuring that Services are provided by adequately-trained, experienced and motivated workers who deliver high quality products and services.

The preceding paragraphs and the remaining Sections of this Policy shall not preclude the Fund from (i) making any investment including any follow-on investment that it would otherwise be permitted to make pursuant to the LPA, (ii) entering into negotiated arrangements and joint ventures with contractors on an exclusive or preferred basis (i.e., on a non-competitive bid basis) that have the potential to offer strategic value to the Fund's investments, or (iii) taking or omitting to take actions required by the LPA, law or regulation that the Fund manager deems appropriate.

III. INITIAL REQUIREMENTS OF THE RESPONSIBLE CONTRACTOR POLICY

The Policy provides that the following requirements shall be met, subject to the Fund manager's duties and obligations as set forth in the LPA:

A. Best Practices: On applicable contracts, contractors for Services shall be selected through a process that includes consideration of competitive risk-adjusted returns and factors such as, but not limited to, demonstrated skill, experience, dependability, fees, safety record, and adherence to the Policy.

B. Local, State and National Laws: All contractors, and their subcontractors shall observe applicable local, state and national laws including, but not limited to, those pertaining to insurance, withholding taxes, minimum wage, labor relations, and occupational health and safety.

IV. SELECTION OF RESPONSIBLE CONTRACTOR

If Initial Requirements A and B (see Section III above) are satisfied, subject to the LPA and the final paragraph of Section II of this Policy, it is a Fund preference that a Responsible Contractor be hired.

V. DEFINITION OF A RESPONSIBLE CONTRACTOR

A Responsible Contractor, as used in this Policy, is an independent contractor who provides high quality Services to operating companies on a comparable and relevant basis in the applicable local market consistent with the desired contracting criteria, and pays workers a fair wage and fair benefits. "Fair benefits" are defined as including, but not limited to: employer-paid family health care coverage, pension benefits, and training and/or apprenticeship programs. "Fair wages" and "fair benefits" are determined based upon local market factors including, without limitation, the wages and benefits paid on comparable real estate projects, the nature of the project (*e.g.*, municipal or commercial; public or private), comparable job or trade classifications, the scope and complexity of Services provided. In determining "fair wages" and "fair benefits" concerning a specific contract in a specific market, items that may be considered include, without limitation, local wage practices, state laws, prevailing wages, labor market conditions, and such other factors as are deemed appropriate by the Fund manager.

VI. TRANSITION, ENFORCEMENT, MONITORING, AND ADMINISTRATION

A. Applicable Investments and Phasing: The Policy shall apply to all U.S. real estate equity investments where the Fund owns a 50% or greater ownership and exercises a controlling interest. The Policy shall not apply to hybrid debt, commingled funds, opportunity funds, mezzanine debt, and indirect, specialty investments lacking equity features. However, when the Policy is not applicable by its terms as set out in the previous sentence, operating company managers shall be encouraged to make a good faith effort to comply with the spirit of the policy. Good faith efforts shall include, but are not limited to, encouraging the use of Responsible Contractors, facilitating meetings with interested stakeholders, when possible, and such other efforts as are deemed appropriate by the Fund manager.

Contracts existing at the time of the Fund's investment in an operating company shall not be subject to this policy until they are evaluated for renewal; voluntary compliance is encouraged.

B. Notification: The Fund shall provide its operating company managers with a copy of this Policy.

C. Solicitation Documents: All requests for proposals and invitations to bid covered by this Policy shall describe the terms of this Policy.

D. Contracts and Renewals: All contracts entered into after the effective date of this Policy that pertain to applicable real estate investments and are covered by the Policy, including renewals of such contracts, shall reference this Policy. Responsible Contractor compliance will be part of the contract renewal consideration.

E. Responsibilities: The responsibilities of Fund staff, operating company managers and contractors are defined as follows:

1. Staff: Fund staff shall have the following responsibilities:

    a. communicate the Policy to all operating company managers;

    b. seek to secure agreements to comply with the Policy from operating company managers;

2. Operating Company Managers: Operating company managers will have responsibility for the following:

    a. ensure there is a selection process that includes potentially eligible Responsible Contractors, where applicable and commercially reasonable;

    b. maintain a list of any interested Responsible Contractors (names, addresses and telephone numbers) to which this Policy may be applicable.

F. Outreach: The Fund manager will maintain a list of all Fund investments covered by this Policy. The list will include the operating company name, address, operating company manager, and the phone numbers of the operating company manager. Subject to the Fund's confidentiality obligations and each Fund investor's confidentiality obligations to the Fund, the Fund will provide a Fund investor with a copy of this list upon request to allow the Fund investor to assess the implementation of this Policy and, in particular, whether Responsible Contractors

are being included in the selection process in a timely fashion. Notwithstanding the foregoing, the Fund Investor will not contact any operating company manager included in the foregoing list without the prior written consent of the Fund.

G. Minimum Contract Value: The Policy shall apply to all applicable Service contracts to independent contractors involving new construction capital works with an aggregate minimum value of $25 million, ongoing capital works with an aggregate minimum value of $10 million and operating or other maintenance contracts not involving capital works with an annual minimum value of $2.5 million. Minimum contract value refers to the aggregate value of a project contract including all of the discrete Services required to complete the project, and does not allow for any disaggregation by trade or task. Disaggregation designed to evade the requirements of the Policy is not permitted. The Fund manager may, at its sole discretion, lower the minimum contract value for specific investments as it sees appropriate. When the Policy is not applicable by its terms, the Fund manager shall encourage operating company managers to make a good faith effort to comply with the spirit of the policy.

H. Fair Wages and Fair Benefits: The Policy avoids a narrow definition of "fair wage" and "fair benefits" that might not be practical in all markets. The Policy looks to local practices concerning type of trade and type of project. The Policy recognizes that practices and labor market conditions vary across the country and that flexibility in implementation is important.

In determining "fair wages" and "fair benefits" concerning a specific contract in a specific market, items that may be considered include local wage practices, state laws, prevailing wages, labor market conditions and other items.

I. Selection Process: Given the time and expense required to solicit and evaluate potential contractors, it is not essential that operating company managers solicit all potential contractors.

The operating company manager must ensure, to the extent commercially reasonable, that there is a selection process that is inclusive of potentially eligible Responsible Contractors. Competitive bidding does not necessarily assure inclusion of Responsible Contractors. This Policy acknowledges that the Fund may operate in niche or specialty industries for which eligible and qualified contractors may be extremely limited. Care must be taken that if applicable Service contracts covered by this policy are competitively bid, then bidders include potentially eligible Responsible Contractors. However, for the avoidance of any doubt, operating company managers will retain full commercial discretion to conduct the bidding process in a manner that seeks to minimize or control costs while ensuring the provision of relevant and high quality services.

J. Enforcement: The Fund shall place a non-complying operating company manager on a watch list. If the operating company manager does not modify this

pattern of conduct after discussions with the Fund's staff, the Fund shall consider this pattern of conduct along with other information when it reviews the operating company manager contract for future renewal. A key indicator is a pattern of conduct that is inconsistent with the provisions of the Policy.

K. Neutrality: The General Partner supports a position of neutrality in the event there is a legitimate attempt by a labor organization to organize workers performing Services for a Fund-owned investment. Accordingly, the General Partner desires contractors observe their legal obligations to recognize a union as the collective bargaining representative of its employees upon showing (on cards) that a majority of the contractor's employees favor unionization.

Adopted/Effective Date: